

TCS Financial Results

Quarter III Ended FY 2025-26

Jan 12, 2026

Disclaimer

Certain statements in this release concerning our future prospects are forward-looking statements. Forward-looking statements by their nature involve a number of risks and uncertainties that could cause actual results to differ materially from market expectations. These risks and uncertainties include, but are not limited to, our ability to manage growth, intense competition among global IT services companies, various factors which may affect our profitability, such as wage increases or an appreciating Rupee, our ability to attract and retain highly skilled professionals, time and cost overruns on fixed-price, fixed-time frame contracts, liability for damages on our service contracts, client concentration, our ability to manage our international operations, restrictions on cross-border movement of skilled personnel, reduced demand for technology in our key focus areas, our ability to capitalize on the emerging technology landscape, the success of the companies in which TCS has made strategic investments, our ability to successfully complete and integrate potential acquisitions, legal restrictions on raising capital or acquiring companies outside India, withdrawal of governmental fiscal incentives, geo-political instability, regulatory changes impacting the business model, supplier concentration and resilience, unauthorized use of our intellectual property, disruptions in telecommunication networks, cyber attacks, security or data breaches, social media adverse impact, pandemics, natural disasters, our ability to ensure business continuity in unforeseen circumstances, and general economic conditions affecting our industry. TCS may, from time to time, make additional written and oral forward-looking statements, including our reports to shareholders. These forward-looking statements represent only the Company's current intentions, beliefs or expectations, and any forward-looking statement speaks only as of the date on which it was made.

The Company assumes no obligation to revise or update any forward-looking statements.

Q3 FY26 Performance Highlights

➤ Revenue:

- INR Revenue of ₹ **670,870 Mn**, up 2.0% QoQ | up 4.9% YoY
- USD Revenue of \$ **7,509 Mn**, up 0.6% QoQ | down 0.4% YoY
- Constant currency revenue up 0.8% QoQ | down 2.6% YoY

➤ Profit:

- Operating Margin at **25.2%***
- Net Margin at **20.0%***
- Cash flow from operations at **130.4%** of net profit

➤ Demand:

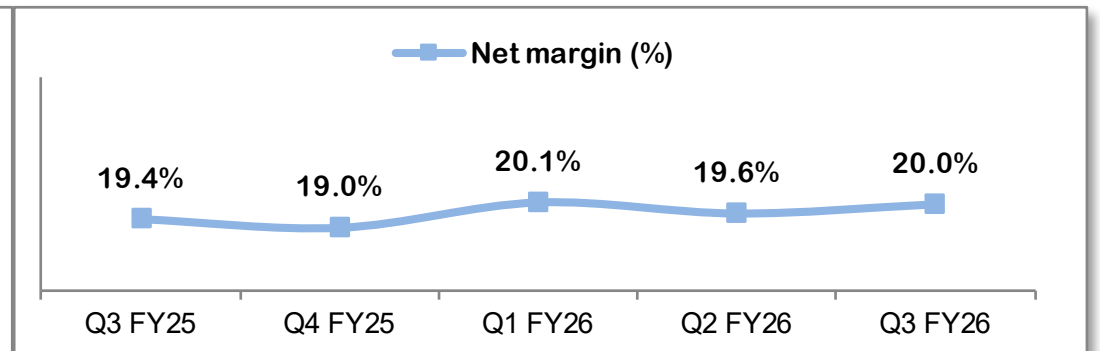
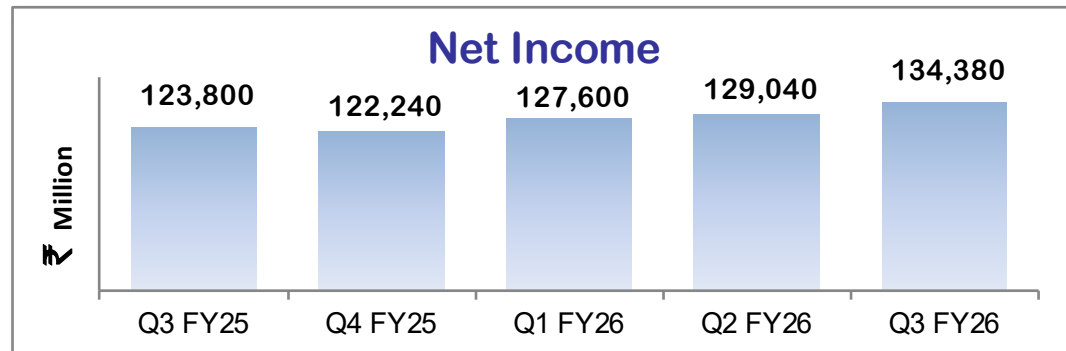
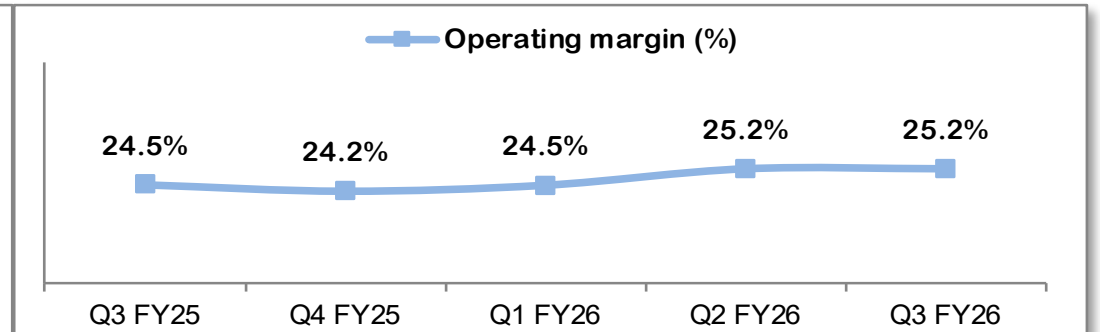
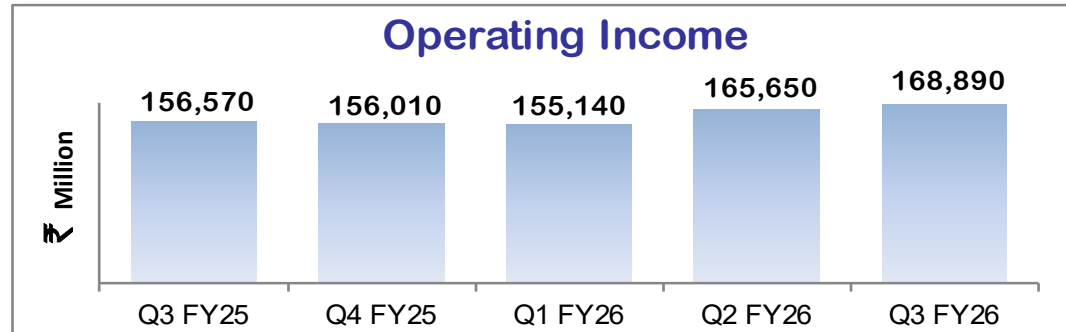
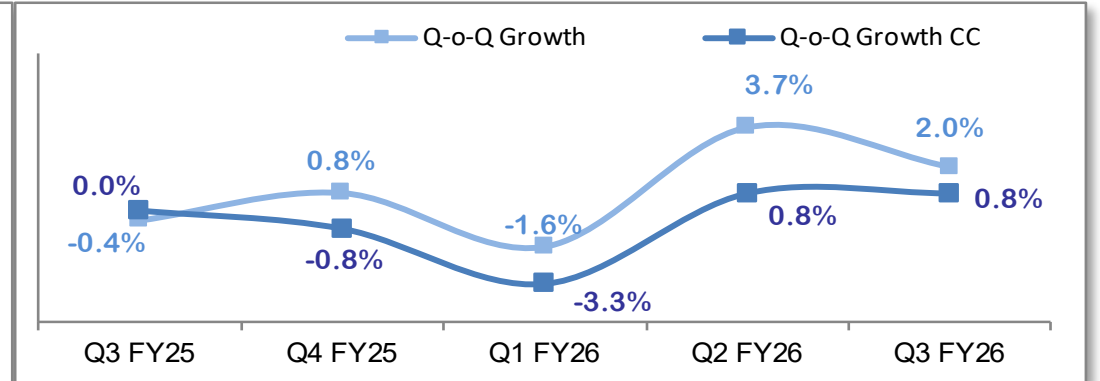
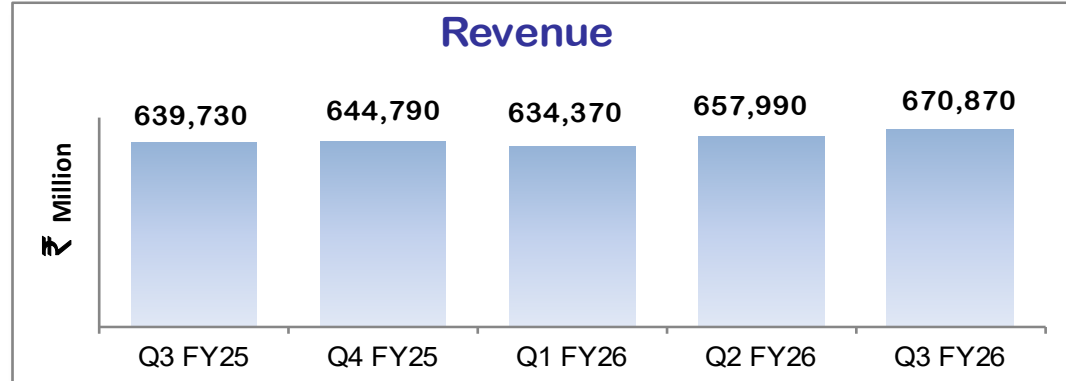
- Clients \$100M+ up by 2 ; \$20M+ up by 8 & \$1M+ up by 23 QoQ
- Order book TCV at \$9.3 Bn; North America TCV at \$4.9 Bn; BFSI TCV at \$3.8 Bn, Consumer Business TCV at \$1.4 Bn

➤ People:

- Closing headcount: **582,163**
- Voluntary LTM attrition at **13.5%** in IT Services

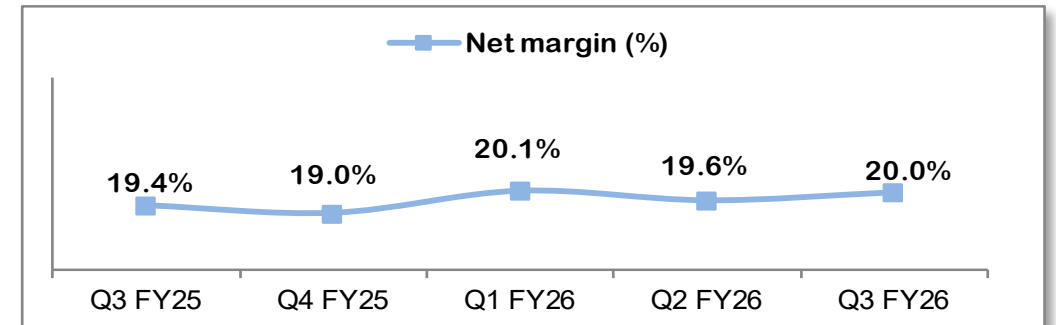
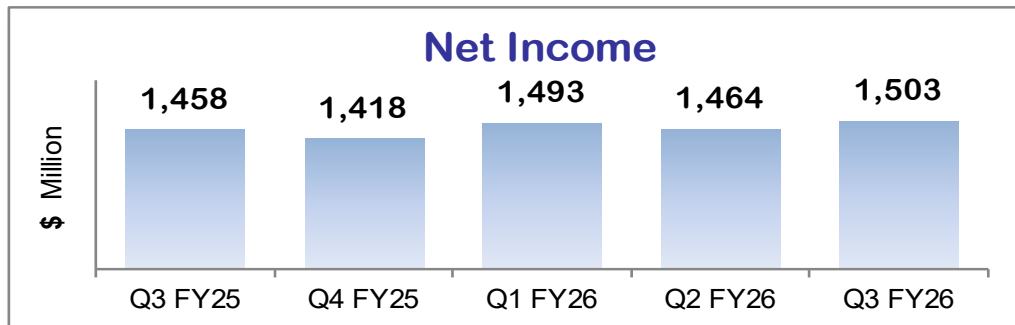
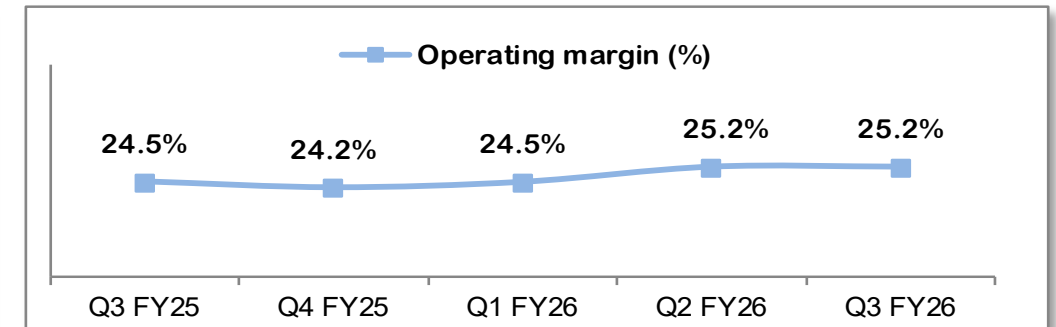
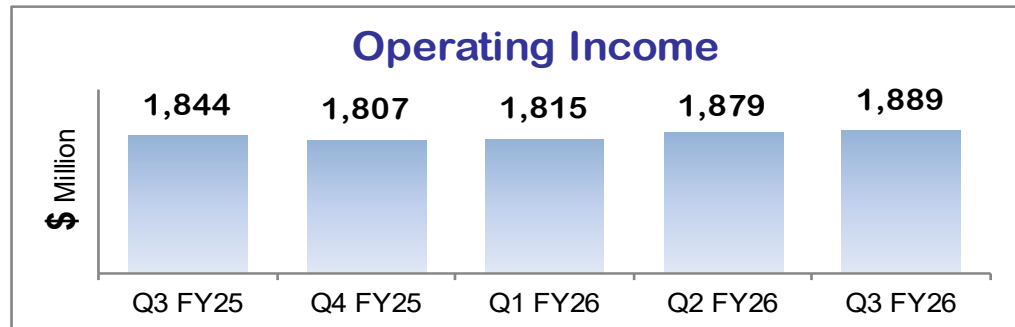
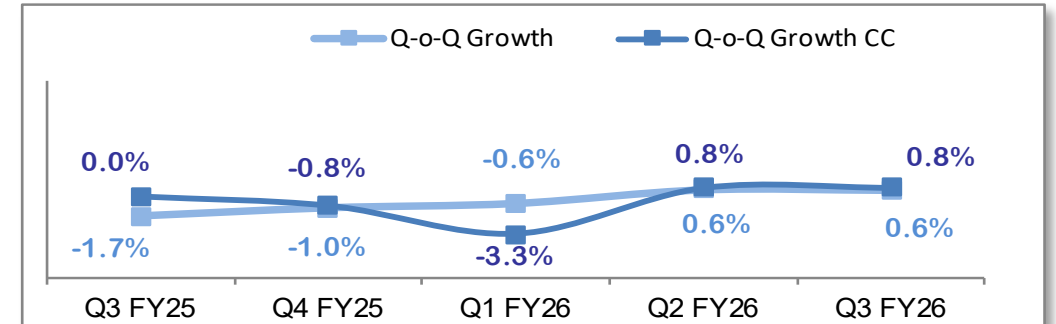
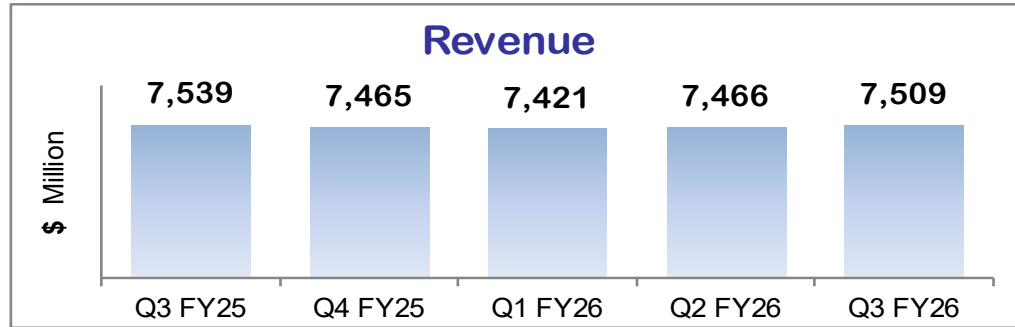
*Excludes exceptional items.

Growth Summary (INR)



*Q2 FY26 & Q3 FY26 excludes exceptional items

Growth Summary (USD)



*Q2 FY26 & Q3 FY26 excludes exceptional items

Operational Parameters

Growth by Market

Geography (%)	Q3 FY25	Q2 FY26	Q3 FY26	Q-o-Q CC Growth	Y-o-Y CC Growth	Q-o-Q INR Growth	Y-o-Y INR Growth
Americas							
North America	47.7	48.8	48.5	0.1	1.3	1.4	6.7
Latin America	1.9	1.9	2.0	4.6	1.4	8.4	14.5
Europe							
UK	16.6	17.5	16.9	- 1.9	- 3.2	- 1.1	6.8
Continental Europe	13.9	15.3	15.6	2.1	1.4	3.5	17.0
Asia Pacific							
India	9.8	5.8	6.1	8.0	- 34.3	8.1	- 34.2
MEA	2.3	2.4	2.6	3.2	8.3	5.4	16.1
Total	100.0	100.0	100.0	0.8	-2.6	2.0	4.9

Growth by Domain

Vertical (%)	Q3 FY25	Q2 FY26	Q3 FY26	Q-o-Q CC Growth	Y-o-Y CC Growth	Q-o-Q INR Growth	Y-o-Y INR Growth
BFSI	30.5	32.2	31.9	- 0.4	1.6	1.0	9.6
Consumer Business	15.3	15.3	15.4	1.3	- 2.7	2.6	5.8
Life Sciences & Healthcare	10.1	10.5	10.5	0.9	2.2	2.2	9.7
Manufacturing	8.4	8.8	8.8	0.2	1.7	1.4	9.7
Technology & Services	8.0	8.5	8.4	- 1.3	1.7	0.1	9.4
Communication & Media	5.8	5.9	5.9	0.6	- 1.6	2.0	6.6
Energy, Resources and Utilities	5.6	5.9	6.0	1.0	2.2	2.5	11.2
Regional Markets & Others	16.3	12.9	13.1	4.6	- 19.4	4.8	- 15.3
Total	100.0	100.0	100.0	0.8	- 2.6	2.0	4.9

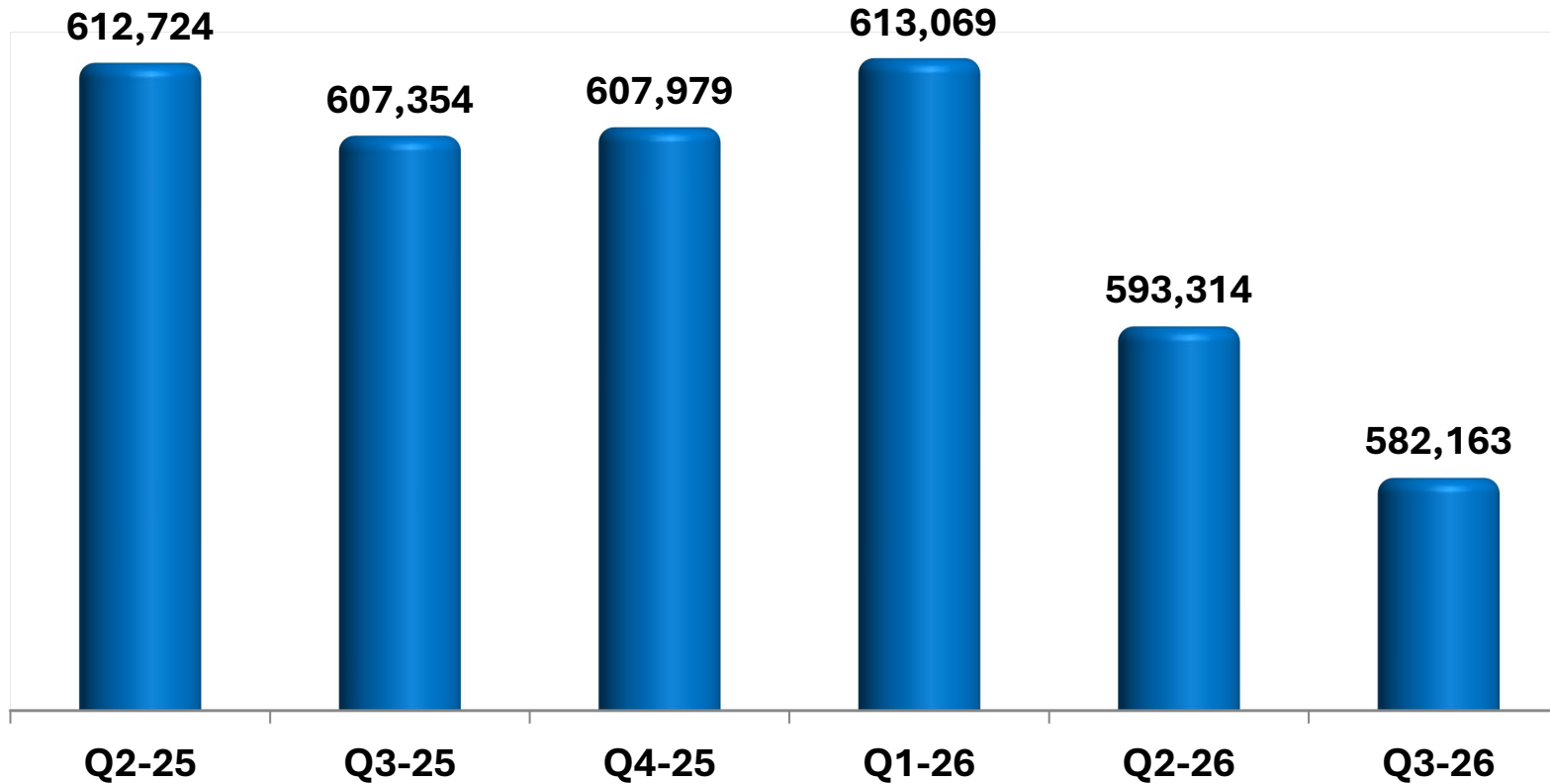
Client Parameters

Clients Contribution	Q3 FY25	Q2 FY26	Q3 FY26
US\$ 1m+ Clients	1309	1360	1383
US\$ 5m+ Clients	722	707	721
US\$ 10m+ Clients	497	498	497
US\$ 20m+ Clients	294	302	310
US\$ 50m+ Clients	134	136	136
US\$ 100m+ Clients	64	60	62

*Last Twelve Months' services revenues

Human Resources

Total Employee Base



Voluntary Attrition*:

- 13.5% (LTM), IT Services

Diversity:

- 35.1 % Women employees
- 149 Nationalities

*Excluding Subsidiaries

Talent Development:

- 51.2Mn Learning Hrs (YTD)
- 3.8Mn competencies acquired (YTD)
- 217K associates with AI Skills (YTD)

Annexure

IFRS Income Statement

Consolidated IFRS	₹ Million			% of Revenue		
	Q3 FY25	Q2 FY26	Q3 FY26	Q3 FY25	Q2 FY26	Q3 FY26
Revenue	639,730	657,990	670,870	100.0	100.0	100.0
Cost of revenue	391,390	397,580	397,040	61.2	60.4	59.2
Gross margin	248,340	260,410	273,830	38.8	39.6	40.8
SG & A expenses	91,770	94,760	104,940	14.3	14.4	15.6
Operating income	156,570	165,650	168,890	24.5	25.2	25.2
Other income (expense), net	10,090	6,380	9,220	1.6	0.9	1.3
Income before income taxes	166,660	172,030	178,110	26.1	26.1	26.5
Income taxes	42,220	42,430	43,100	6.6	6.4	6.4
Income after income taxes	124,440	129,600	135,010	19.5	19.7	20.1
Non-controlling interests	640	560	630	0.1	0.1	0.1
Net income	123,800	129,040	134,380	19.4	19.6	20.0
Earnings per share in ₹	34.21	35.67	37.14			

*Q2 FY26 & Q3 FY26 excludes exceptional items.

COR – SG&A Details

COR	₹ Million			% of Revenue		
	Q3 FY25	Q2 FY26	Q3 FY26	Q3 FY25	Q2 FY26	Q3 FY26
Employee cost	283,860	308,920	301,300	44.4	46.9	44.9
Fees to external consultants	28,120	33,090	35,600	4.4	5.0	5.3
Equipment and software	35,190	9,670	12,620	5.5	1.5	1.9
Facility expenses	5,460	5,540	6,040	0.9	0.8	0.9
Depreciation	10,780	10,930	10,810	1.7	1.7	1.6
Travel	5,470	5,850	5,390	0.9	0.9	0.8
Communication	4,050	4,610	4,900	0.6	0.7	0.7
Other expenses	18,460	18,970	20,380	2.8	2.9	3.1
Cost of Revenue	391,390	397,580	397,040	61.2	60.4	59.2

SG&A	₹ Million			% of Revenue		
	Q3 FY25	Q2 FY26	Q3 FY26	Q3 FY25	Q2 FY26	Q3 FY26
Employee cost	75,700	77,140	83,990	11.8	11.7	12.5
Fees to external consultants	1,570	1,650	1,890	0.2	0.3	0.3
Facility expenses	3,270	3,330	3,370	0.5	0.5	0.5
Depreciation	2,980	3,200	2,990	0.5	0.5	0.4
Travel	1,820	2,010	2,770	0.3	0.3	0.4
Communication	1,910	1,870	2,270	0.3	0.3	0.3
Provision for Doubtful Debts	410	380	370	0.1	0.1	0.1
Other expenses	4,110	5,180	7,290	0.6	0.7	1.1
S G & A expenses	91,770	94,760	104,940	14.3	14.4	15.6

*Q2 FY26 & Q3 FY26 excludes exceptional items.

Cash Flow Summary

IFRS in ₹ Mn	Q3 FY25	Q2 FY26	Q3 FY26
Net Cash from Operations	130,320	132,930	139,010
Capital Expenditure	7,260	12,010	9,180
Acquisition of Subsidiary	-	-	5,600
Free Cash Flow	123,060	120,920	124,230
Dividends Paid	36,220	40,210	39,870
Operating Cash Flow to Sales (%)	20.4	20.2	20.7
Operating Cash Flow to Net Profit (%)	105.3	110.1	130.4
Total Cash and Investments	623,490	559,500	640,970

IFRS Statement of Financial Position

Consolidated IFRS	₹ Million	
	31-Mar-25	31-Dec-25
Assets		
Property and equipment	129,320	138,110
Right-of-use Assets	92,750	105,480
Intangible assets and Goodwill	49,640	51,030
Accounts Receivable	502,330	561,470
Unbilled Revenues	154,700	163,290
Invested Funds	472,220	640,970
Other current assets	124,860	116,780
Other non current assets	91,730	86,740
Total assets	1,617,550	1,863,870
Liabilities and Shareholders' Equity		
Shareholders' Funds	968,820	1,156,280
Current liabilities	530,010	572,270
Non-current liabilities	108,570	124,590
Non-controlling interests	10,150	10,730
Total Liabilities	1,617,550	1,863,870

Detailed financials are uploaded.

IFRS Income Statement – In USD

Consolidated IFRS	\$ Million			% of Revenue		
	Q3 FY25	Q2 FY26	Q3 FY26	Q3 FY25	Q2 FY26	Q3 FY26
Revenue	7,539	7,466	7,509	100.0	100.0	100.0
Cost of revenue	4,613	4,512	4,444	61.2	60.4	59.2
Gross margin	2,926	2,954	3,065	38.8	39.6	40.8
SG & A expenses	1,082	1,075	1,176	14.3	14.4	15.6
Operating income	1,844	1,879	1,889	24.5	25.2	25.2
Other income (expense), net	119	73	103	1.6	0.9	1.3
Income before income taxes	1,963	1,952	1,992	26.1	26.1	26.5
Income taxes	497	482	482	6.6	6.4	6.4
Income after income taxes	1,466	1,470	1,510	19.5	19.7	20.1
Non-controlling interests	8	6	7	0.1	0.1	0.1
Net income	1,458	1,464	1,503	19.4	19.6	20.0

*Q2 FY26 & Q3 FY26 excludes exceptional items. (refer note 19, 22 & 23 to Financial Statements)

COR – SG&A Details – In USD

COR	\$ Million			% of Revenue		
	Q3 FY25	Q2 FY26	Q3 FY26	Q3 FY25	Q2 FY26	Q3 FY26
Employee cost	3,345	3,505	3,373	44.4	46.9	44.9
Fees to external consultants	331	376	398	4.4	5.0	5.3
Equipment and software	415	110	141	5.5	1.5	1.9
Facility expenses	64	63	68	0.9	0.8	0.9
Depreciation	127	124	121	1.7	1.7	1.6
Travel	65	66	60	0.9	0.9	0.8
Communication	48	52	55	0.6	0.7	0.7
Other expenses	218	216	228	2.8	2.9	3.1
Cost of Revenue	4,613	4,512	4,444	61.2	60.4	59.2

SG&A	\$ Million			% of Revenue		
	Q3 FY25	Q2 FY26	Q3 FY26	Q3 FY25	Q2 FY26	Q3 FY26
Employee cost	892	875	940	11.8	11.7	12.5
Fees to external consultants	19	19	21	0.2	0.3	0.3
Facility expenses	39	38	38	0.5	0.5	0.5
Depreciation	35	36	34	0.5	0.5	0.4
Travel	21	23	31	0.3	0.3	0.4
Communication	22	21	25	0.3	0.3	0.3
Provision for Doubtful Debts	5	4	4	0.1	0.1	0.1
Other expenses	49	59	83	0.6	0.7	1.1
SG&A expenses	1,082	1,075	1,176	14.3	14.4	15.6

*Q2 FY26 & Q3 FY26 excludes exceptional items. (refer note 19, 22 & 23 to Financial Statements)

IFRS Statement of Financial Position in USD

Consolidated IFRS	\$ Million	
	31-Mar-25	31-Dec-25
Assets		
Property and equipment	1,514	1,536
Right-of-use Assets	1,086	1,173
Intangible assets and Goodwill	580	568
Accounts Receivable	5,880	6,245
Unbilled Revenues	1,811	1,816
Invested Funds	5,526	7,129
Other current assets	1,458	1,297
Other non current assets	1,076	966
Total assets	18,931	20,730
Liabilities and Shareholders' Equity		
Shareholders' Funds	11,337	12,859
Current liabilities	6,202	6,364
Non-current liabilities	1,270	1,385
Non-controlling interests	122	122
Total Liabilities	18,931	20,730

Detailed financials are uploaded.

Ind AS Income Statement - Consolidated

Consolidated Ind AS	₹ Crore			% of Revenue		
	Q3 FY25	Q2 FY26	Q3 FY26	Q3 FY25	Q2 FY26	Q3 FY26
Revenue	63,973	65,799	67,087	100.0	100.0	100.0
Expenditure						
a) Employee Costs	35,956	38,606	38,530	56.2	58.7	57.4
b) Cost of equipment and software licences	3,519	967	1,262	5.5	1.5	1.9
c) Other Operating expenses	7,464	8,248	9,026	11.6	12.5	13.4
d) Depreciation	1,377	1,413	1,380	2.2	2.1	2.1
Total Expenditure	48,316	49,234	50,198	75.5	74.8	74.8
Profit Before Taxes & Other Income	15,657	16,565	16,889	24.5	25.2	25.2
Other income (expense), net	1,009	638	922	1.6	0.9	1.3
Profit Before Taxes	16,666	17,203	17,811	26.1	26.1	26.5
Provision For Taxes	4,222	4,243	4,310	6.6	6.4	6.4
Profit After Taxes & Before Non-controlling interests	12,444	12,960	13,501	19.5	19.7	20.1
Non-controlling interests	64	56	63	0.1	0.1	0.1
Net Profit	12,380	12,904	13,438	19.4	19.6	20.0
Earnings per share in ₹	34.21	35.67	37.14			

*Q2 FY26 & Q3 FY26 excludes exceptional items. (refer note 19, 22 & 23 to Financial Statements)

Ind AS Balance Sheet - Consolidated

Consolidated Ind AS	₹ Crore	
	31-Mar-25	31-Dec-25
Assets		
Property and equipment	12,524	13,449
Right-of-use Assets	9,275	10,548
Intangible assets and Goodwill	2,800	2,939
Accounts Receivable	50,233	56,147
Unbilled Revenues	15,470	16,329
Invested Funds	47,222	64,097
Other current assets	12,486	11,678
Other non current assets	9,619	9,081
Total Assets	159,629	184,268
Liabilities and Shareholders' Equity		
Shareholders' Funds	94,756	113,509
Current liabilities	53,001	57,227
Non-current liabilities	10,857	12,459
Non-controlling interests	1,015	1,073
Total Liabilities	159,629	184,268

Detailed financials are uploaded.

Currency mix and average realized rates in INR

Currency	Average rates			% of Revenue		
	Q3 FY25	Q2 FY26	Q3 FY26	Q3 FY25	Q2 FY26	Q3 FY26
USD	84.85	88.13	89.34	49.43%	49.79%	49.34%
GBP	107.72	118.11	118.87	14.43%	15.16%	14.82%
EUR	89.62	102.70	104.00	10.64%	11.73%	11.65%
Others				25.50%	23.32%	24.19%
Total				100.00%	100.00%	100.00%

Thank you